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Global FX Strategy

Our risk sentiment goes from “green to yellow”

CITI'S TAKE

Recent indicators suggest increasing potential for a risk correction. These do not turn us bearish risk but tell us the probability of a move lower is increasing. We flag indicators to watch that would turn us outright bearish risk assets, but for now we simply see the backdrop as one where the recent drop in volatility is an opportunity to add tactical risk hedges. One complication for FX has been the increased frequency with which we see equities down with yields up, which produces very different FX behavior compared to equities down with yields down. We like JPY strangles for that uncertainty. Another complication is that historic risk currencies tend to also have positive terms of trade that would benefit should the Iran conflict escalate. Therefore, we prefer puts in SEK and NZD over NOK and AUD as risk-off hedges.

Daniel Tobon^{AC}

+1-212-816-8340
daniel.tobon@citi.com

Brian Levine^{AC}

+1-212-816-6896
brian.levine@citi.com

Osamu Takashima

+81-3-6776-3251
osamu.takashima@citi.com

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Resilient global growth expectations, the AI capex cycle, better-than-expected energy inventory management, and expectations of a resolution to the Iran conflict have all supported global risk assets in recent months despite consistently elevated uncertainty on the Strait of Hormuz. We have seen this as a positive backdrop for high beta/carry currencies that also benefit from a positive terms of trade impact from the conflict (AUD, NOK, Latam FX).

However, we suspect we are shifting from a positive-risk backdrop to one with increased vulnerability for a correction. To be clear, increased vulnerability of a correction and expectations we are going to see a correction are not the same thing; however, with vol at low levels, downside protection looks attractive. In other words, we would not be exiting risk positions necessarily, but we would be using low vol as an opportunity to add downside hedges.

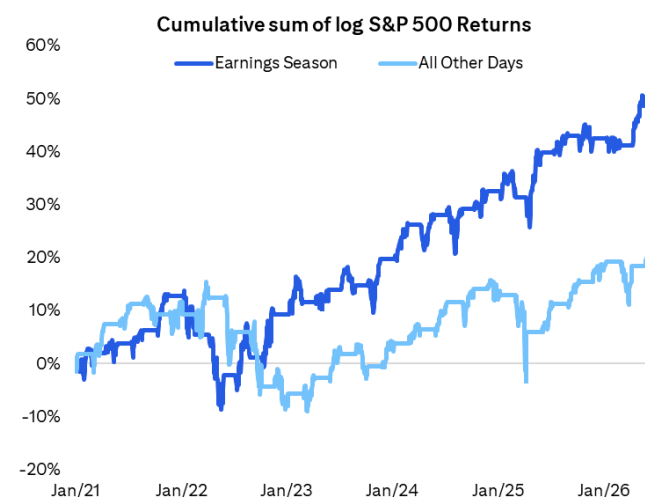
Below we highlight the current indicators turning us more cautious on risk (“green to yellow”), what it would take to get us outright bearish risk (“yellow to red”), and implications for FX. We stress again this is tactical in nature, and we would still be dip buyers of risk assets on corrections.

Sentiment shifting from green to yellow

We flag the developments turning us more cautious:

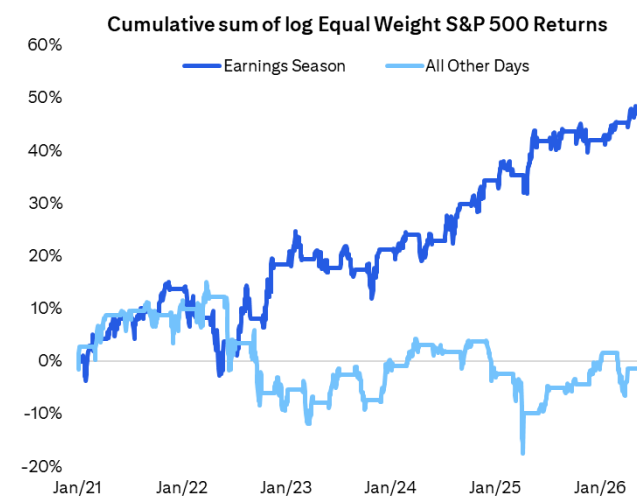
- **Equity Strategy is cautious:** Citi’s US Equity Strategy team has flagged that the [Q1 earnings blowout](#) has led to an equity rally that now appears to have priced euphoric expectations. Thematically, [they prefer](#) taking profit on price momentum – a factor that outperformed – and rotating into earnings momentum and quality improvement. This is consistent with their view that more acute bouts of volatility should be expected given high growth expectations, especially if yields remain elevated.
- **POLLS flashes red:** One of our favorite risk indicators is POLLS (Positioning, Optimism, Liquidity, Leverage and Stress), which was developed by our equity markets colleagues. It reached 18 last week, a trigger typically seen ahead of corrections. The [Quant Global Macro](#) team shows that SPX returns in the next 30–50 trading days are weaker.
- **Earnings season is over:** The end of earnings season may remove a tailwind for stocks. We note the relative outperformance of the S&P 500 during earnings season, along with smaller drawdowns and quicker recoveries to new highs (Figure 1). Equities still perform during non-earnings season, though with greater volatility. Re-running the study using the S&P 500 equal-weight series tells a more striking story (Figure 2): broad stock gains have come from earnings (fundamentals work!) but outside of earnings have done little.

Figure 1. S&P 500 returns are strongest during earnings season, with smaller drawdowns and quicker recoveries



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We define "earnings season" from the 10th (or closest trading day) of the month following quarter-end to NVDA earnings +3 days.
Source: Citi Research, Bloomberg

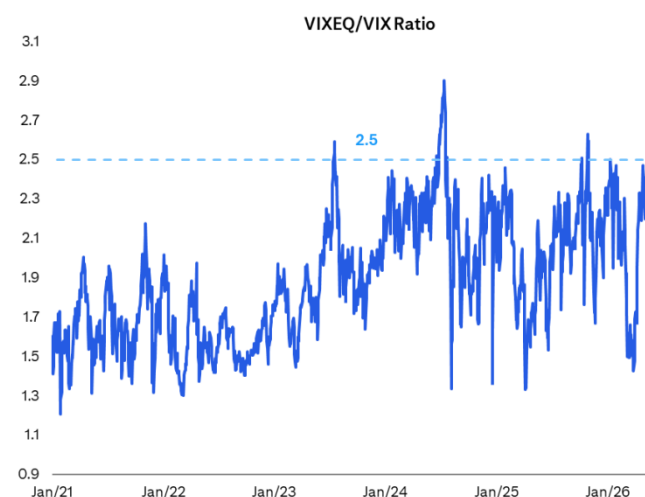
Figure 2. The equally-weighted S&P 500 is more sensitive to earnings, with little happenings outside of the period



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Source: Citi Research, Bloomberg

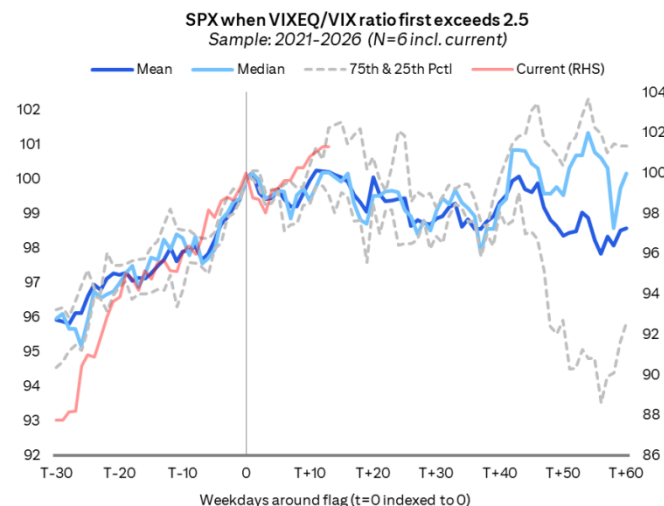
- **Equity dispersion extreme:** The ratio of S&P 500 constituent volatility versus index volatility has reached historically extreme levels (above 2.5; Figure 3). This shows large dispersion, which can be typical during earnings season (related to the point above). It is notable that prior moves above 2.5 have typically seen sideways/lower price in equities (Figure 4).

Figure 3. Constituent vol vs index vol is at extreme levels



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Figure 4. This generally sees equities sideways/lower



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- **Cracks in AI narrative?:** We are believers in the AI capex story, and its potential to keep driving economic growth, earnings and eventually productivity (though [to what degree](#) on the latter is still uncertain).

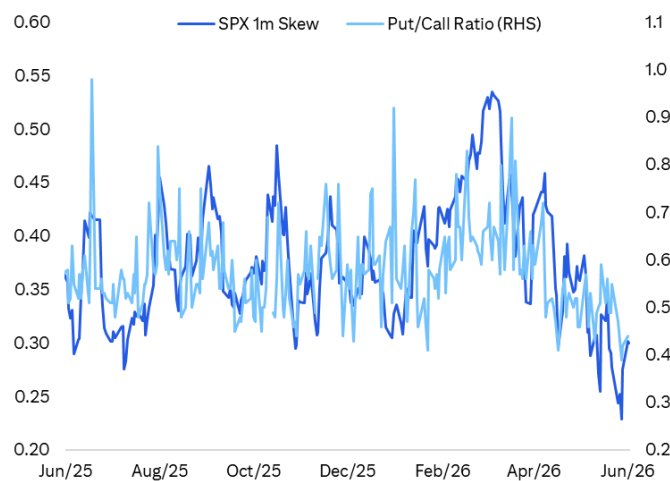
However, recent news around corporate AI costs ([Axios 05/28](#)) could call into question the pace of spend by end users.

- **Put-call spread collapse:** The CBOE Equity Put/Call Ratio hit new lows last week to levels rarely seen over the past decade. S&P 500 normalized 1m skew shows a similar demand for calls over puts (Figure 5). This suggests investors have built euphoric longs through options. Two implications:
 - Low put ownership could see chasing of put buying in risk-off, which is positive for vol. Vol squeezes fuel VAR-driven unwinds.
 - Dealers may be long equities to hedge skewed positioning (they are the net call sellers to the market). Should equities start to sell-off, dealers could exacerbate the move by reducing their delta hedges.

Again, this is not necessarily a risk-off signal but does point to euphoric sentiment and downside acceleration risk if equities begin to move lower.

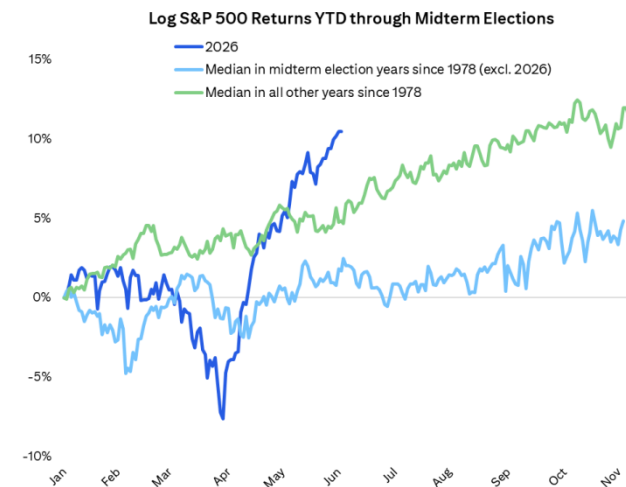
- **Midterm seasonality:** Midterm years tend to underperform non-midterms years, and this becomes especially notable starting in June (Figure 6). This may be due to expectations of less fiscal as mid-term years tend to see congressional leadership change/divided government. Or it could be a coincidence. We do not put significant weight on this, but note it as interesting in light of all the other risks flagged above.

Figure 5. Notable demand for calls over puts



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Figure 6. Equities underperform in midterm years



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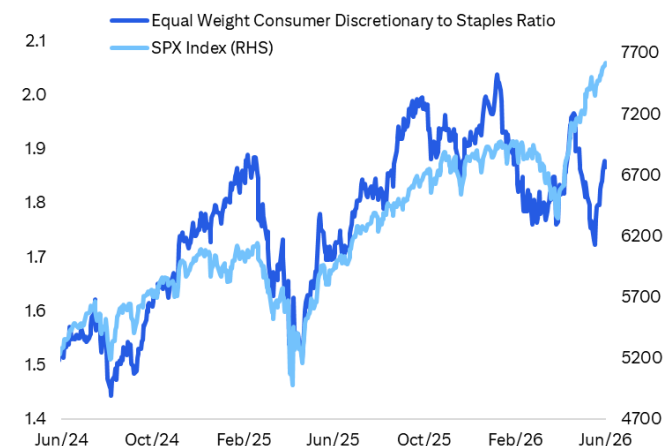
What causes us to get outright tactically bearish

We reiterate the above factors suggest the distribution of outcomes for risk assets over the short-term has shifted to balanced/slightly bearish (compared to skewed positive over earnings). However, we still do not see an immediate trigger to suggest positioning for a correction; rather this simply suggests low vol should be opportunistically used for tactical downside protection.

What would it take to get outright bearish?

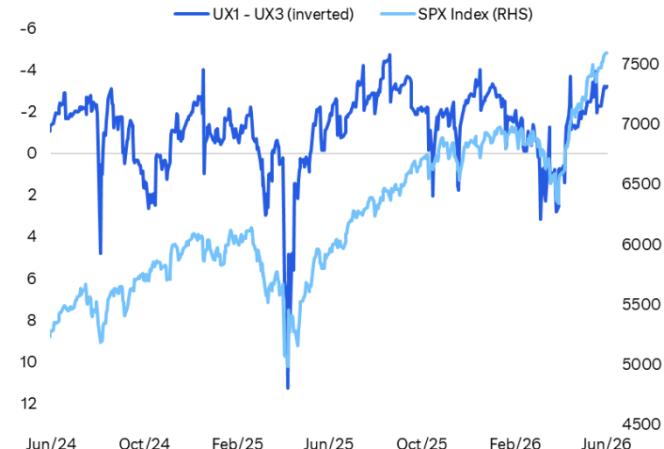
- **Discretionary underperformance:** We like using the relative performance of consumer discretionary versus staples as an early indicator for equity deterioration (we use equal-weight to avoid distortions from any single names). This has been recovering, rather than declining (Figure 7). A correction lower would be negative for the broader index, in our view.

Figure 7. Discretionary underperformance versus staples (equal weight index) is negative for equities



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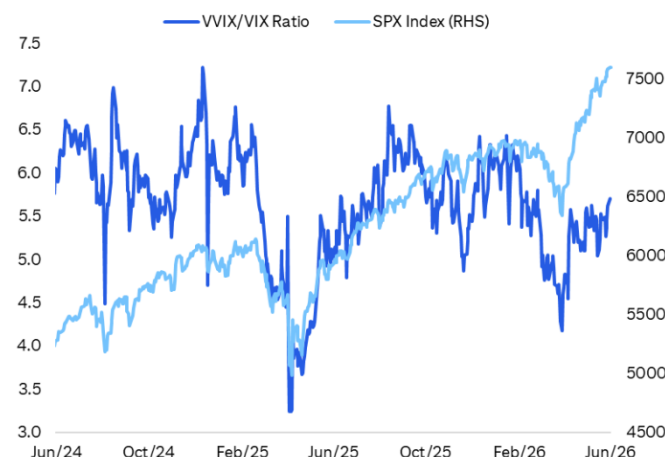
Figure 8. Front-end risk curves remain steep; flattening into inversion is risk-negative



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- **Vol curve flattening/vol of vol outperforming:** We look at the shape of the front-end of the VIX curve, with quick flattening into inversion as an early/coincidental signal (Figure 8). We do the same with the ratio of vol of vol (VVIX) to the VIX, which can often start to move higher ahead of market corrections (Figure 9). Neither shows negative indications yet.
- **Negative technicals:** We respect price, and for now the trend higher in risk assets remains intact. There is some mild momentum divergence developing on the daily S&P 500 chart, but it is neither confirmed nor is one indicator enough to lead us to fight the trend (Figure 10). A close below the 21dma (7,460) may be the first signal for caution.

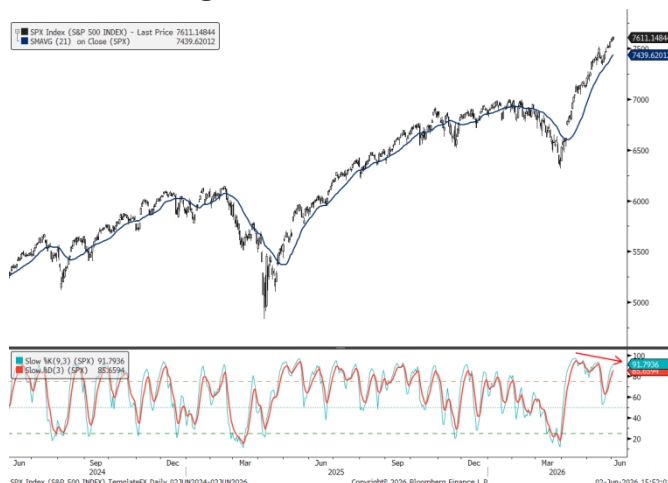
Figure 9. The ratio of VVIX to VIX typically falls ahead of equities (currently pushing higher)



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Figure 10. S&P 500 trend higher remains intact; mild momentum divergence hints at correction risk



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- **Strait closure exacerbates/yields surge:** Markets are optimistic on the prospects of a deal that re-opens the Strait of Hormuz, with progress seemingly being made towards a deal. Should market expectations shift to a long closure, commodity prices could spike up again alongside yields, weighing on risk assets more broadly.
- **Price reaction to news diverges:** There has been asymmetrical price reaction to news around the Iran conflict, with good news seeing larger price reactions than bad news as the market leans towards the “de-escalation trade.” However, markets typically price in such events ahead of the outcome itself, with the actual event then seeing little follow-through (the market cliché of “buy the rumor, sell the news”).

A similar dynamic was seen over COVID, when market enthusiasm around vaccines and re-opening was rapidly priced into markets before the first vaccine was administered. Markets topped out soon after the vaccine rollout began as the market pivoted focus to upcoming central bank hikes in light of rapidly rising inflation (Figure 11).

The market has been anticipating an Iran deal, with much of the good news potentially priced-in. This creates risk of a “sell the rumor” dynamic once/if a resolution is confirmed. A negative sign for markets would be if the rally is short-lived and quickly reverses after such an announcement.

Figure 11. S&P 500 (2021–2022) with COVID vaccine milestones – the market adage of “buy the rumor, sell the news” in effect



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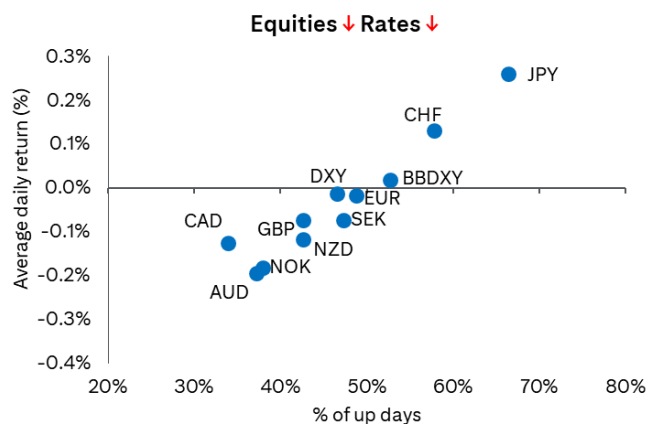
- **Data/Fed/etc.:** The usual suspects of bad data, hawkish Fed, etc. Hawkish central banks are largely priced, but any inflation surprises that push yields higher could be negative for risk assets. This could also be reflected in a pick-up in term premium, especially if fiscal looseness is used to offset energy impacts globally.

This is not necessarily a comprehensive checklist, simply some items we are closely watching. Narratives can often be applied retroactively to price action, though, so we watch for both the market reaction to events as well as the events themselves

Implications for FX

We revisit FX performance when equities are negative, but condition on whether yields are higher or lower (we use the S&P 500 Index and the US 10yr yield as proxies). We observe that the FX reaction in risk-off is quite different based on how yields react (Figure 12 and 13).

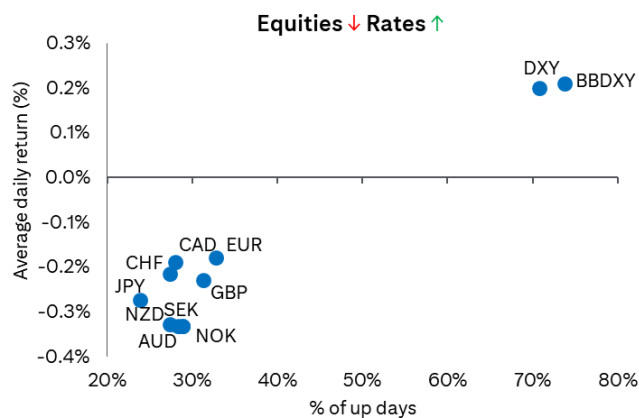
Figure 12. G10 FX performance – equities down, yields down (2021–present, based on US 10y and S&P 500)



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Figure 13. G10 FX performance – equities down, yields up (2021–present, based on US 10y and S&P 500)



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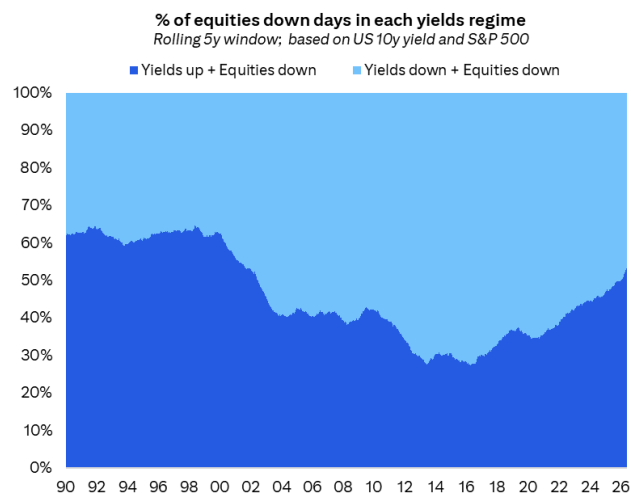
The post-dot-com era saw equities lower more consistently with yields lower. That has shifted in the post-COVID era, as we see increased frequency of equities lower with yields higher (Figure 14). Given the current backdrop, both scenarios (equities down with yields either up or down) seem probable.

As we've been noting, we are not necessarily outright bearish risk. Rather, we see increased potential for a correction – though timing and catalyst are uncertain. Pre-COVID, it was easier to think about FX hedges as the equities down/yields down regime was more common. Therefore, lower cross-JPY (and especially AUDJPY) was the clear risk-off trade in G10 FX.

However, the increased frequency of equities down with yields up – along with negative JPY fiscal fundamentals – has diminished the role of JPY as “safe haven” currency. We have always seen JPY as a rates trade rather than an equities trade, but the higher frequency of yields down/equities down pre-COVID created a view that JPY was a “safe haven” currency. Correlation without causation, in our view, as it is yields that drive JPY. And we can see in a world of equities down/yields up, JPY is actually one of the worst-performing currencies.

Given relatively low implied vol (which is now below realized vol) in JPY (Figure 15), strangles may provide an attractive hedge given the uncertain direction on yields.

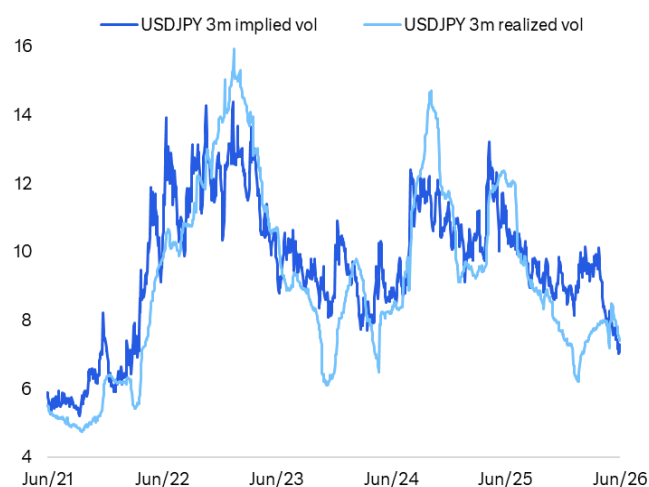
Figure 14. Frequency of equities down/yields up is increasing post-COVID



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Figure 15. USDJPY implied vol is historically low and also below realized vol



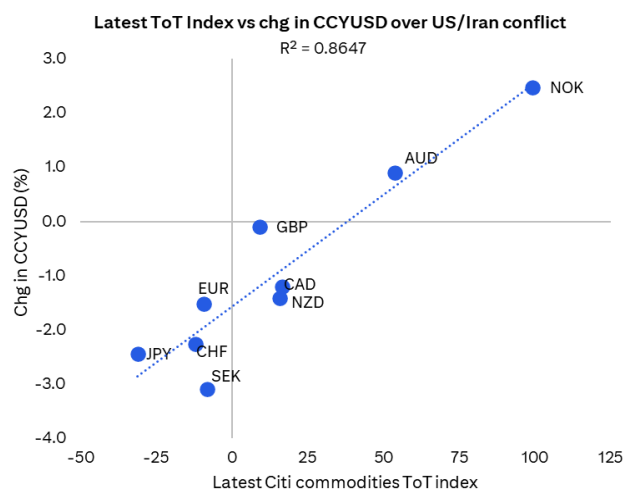
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The other common theme when equities head lower is consistent underperformance by high beta/risk currencies. In light of the current backdrop (Figure 16), we would be hesitant to hedge risk-off in those currencies with positive terms of trade related to the conflict as they could still outperform if conflict re-escalation is the risk-off catalyst (and here we specifically mean AUD and NOK). We therefore prefer puts in NZD and SEK (versus AUD and NOK) as hedges as there are more scenarios for these currencies to potentially underperform, and they tend to perform similarly poorly to other high beta currencies in risk-off.

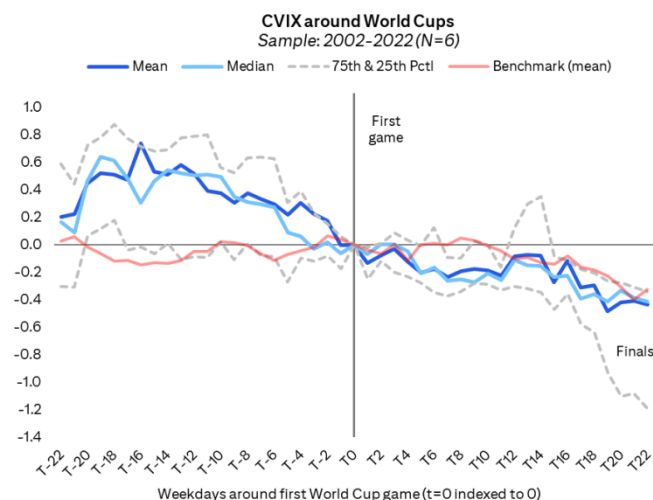
However, we flag a major caveat. With the World Cup starting June 11, it is worth remembering FX vol tends to drop around this event (Figure 17). This could create some short-term issues for risk-off hedges, which are typically long vega. That may require some patience in layering into hedges, or looking for creative expressions (e.g., calendar spreads, condors).

Figure 16. Terms of trade has been a major FX since the conflict began



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Figure 17. FX vol tends to drop into the World Cup



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